Iberdrola (IBE.MC) - Relative Valuation Report

Valuation date: 2026-10-30 | Mode: relative_only deviation (no DCF, no stage 2/4) | Status: PROVISIONAL

1. Valuation summary

Item	Value
Currency	EUR (reporting FY2025: EUR millions)
Current price (close 2026-10-30)	22.18
Primary multiple (comparables)	EV/EBITDA (bucket-A integrated utility); peer median 12.56x, n = 10
Comparables, p25 - median - p75 per share	12.71 - 17.32 - 21.18
Median vs price	17.32 vs 22.18 = -21.9% (vendor EBITDA basis)
Issuer-EBITDA sensitivity (median)	19.18 (adjusted) / 20.89 (reported) vs 22.18
Regression estimate per share	16.96 (published EUROPE regression, chosen model: PBV, R2 = 0.423)
Regression vs price	16.96 vs 22.18 = -23.5%

Peer-multiple cross-checks (medians, per share): PE raw 15.53; PBV ROE-scaled 15.95; EV/EBIT 19.06; EV/CF 13.65; EV/Assets 14.70. Published EUROPE regressions: PE (R2 0.201) 19.62; EV/EBITDA (R2 0.262) 33.04. IBE trades at a premium to peers (actual EV/EBITDA 14.8x vs peer median 12.6x; PE 24.4x vs 17.1x); both the peer EV/EBITDA and the published PBV read it ~22-24% rich; the market-wide EV/EBITDA equation reads it ~33 cheap - sector-blind equation, flagged not reconciled.

Basis notes: vendor FY2025 EBITDA 14,700m sits below issuer adjusted EBITDA 15,684m / reported 16,592m (definition scope; sensitivity retained). Vendor NI to common 6,055m vs issuer reported 6,285m (230m hybrid-coupon deduction - real claim, kept). Declared FY2025 dividend ~4,543m (0.68/share; scrip dividend - CF-paid 1,275m understates) implies payout 0.75.

No intrinsic (DCF) estimate is produced under the relative_only deviation; stages 1, 2 and 4 are marked skipped_by_deviation in run_state.json.

2. Peer set (10 of 10 selected at the Europe step)

Name	Ticker	Country	Tier	EV/EBITDA / PBV
SSE	SSE	United Kingdom	1	EVEBITDA 14.7 / PBV 2.6
RWE	RWE	Germany	1	EVEBITDA 27.1 / PBV 1.2
Naturgy	NTGY	Spain	1	EVEBITDA 8.5 / PBV 2.9
National Grid	NG	United Kingdom	1	EVEBITDA 16.3 / PBV 1.7
EDP	EDP	Portugal	1	EVEBITDA 11.4 / PBV 1.8
E.ON	EOAN	Germany	1	EVEBITDA 13.0 / PBV 2.6
Terna	TRN	Italy	2	EVEBITDA 12.1 / PBV 2.5
Snam	SRG	Italy	2	EVEBITDA 13.1 / PBV 2.2
Verbund	VER	Austria	1	EVEBITDA 10.1 / PBV 2.3
ENGIE	ENGI	France	1	EVEBITDA 8.1 / PBV 1.7

Composition: 10 peers Tier 1-2 (8 integrated/regulated utilities, 2 grid operators), 10/10 Europe-listed - all requirements met at the first (strictest) selection step; no size-band or region relaxation. Pool of 33 candidates + 1 subsidiary evidence row built from issuer-named competitors, sector_adjustments Tier-1 seeds and own research; all extracts reused from the dated cache.

Exclusions documented: Endesa (~70% subsidiary of candidate ENEL, hard gate); CEZ (uniform web source unavailable; MSCI EM listing anyway); CNA/A2A/REE/IG and small IPPs (below size-band floor EUR 14.79bn); AY/BLX/INE (no common 2026-10-30 price date); ORA (US-listed, World-only pool never reached). ENEL scored 11th and just missed selection; FORTUM and ORSTED also above the set.

IBE vs selected-peer medians: actual EV/EBITDA 14.8x vs 12.6x; PE 24.4x vs 17.1x; ROE 12.1% vs ~10.6%; net debt/EBITDA 3.79x vs ~5.03x; EBITDA margin 33.4% vs ~26.7%; growth 9.8% vs ~3.1%; beta 0.45 vs ~0.57. Premium multiples are consistent with higher growth/ROE and lower leverage.

3. Method notes and caveats

- Comparable companies: similarity scoring on 8 dimensions; pool-only 5/95% winsorization; Europe step feasible at default caps; per-share values in EUR on uniform vendor FY2025 fundamentals; EV basis = before associates (peers and target inverse both exclude the associates adjustment).
- Primary multiple: EV/EBITDA; min_valid = 6 per standing approval (ev_cf and peg n = 9, all others 10). Growth-scaled PE/PEG distorted by near-zero peer growth - flagged, raw multiples retained.
- Published regressions: Damodaran regressions_multi_2026-01, EUROPE equations, decimal unit policy for DFR/tax (user-approved). Chosen model = highest published R2 (PBV).
- Regression inputs: beta 0.45 (5Y observed); g_eps 9.15% and g_rev 4.05% analyst consensus (sourced); ROE 0.121 closing book; payout 0.750 declared-dividend basis (CF-paid 0.21 distorted by scrip, flagged); dfr 0.287; effective tax 0.2064; roic 0.0749.
- Caveats: (a) regression file ~10 months older than valuation date; (b) published file gives no n, SEy or p-values - residual-band/diagnostic fields n/a_published_route; (c) GLOBAL-equation sign warnings recorded at stage 0, EUROPE equations unaffected but noted; (d) market-wide equations, low R2 - deviation is not proof of mispricing; (e) market-wide EV/EBITDA prediction (19.7x) sits above the European utility peer median (12.6x) - recorded, not resolved.
- QA block C: PROVISIONAL - human Spot_check PENDING (recorded, not claimed); ISIN issuer-page verification PENDING; ownership/event audit outstanding. EV-to-equity inverse check passed (associates = 0 on both sides); three reproducibly random EV recomputes matched. No failures; warned items disclosed.
- Data route: stockanalysis.com uniform web route (profile/statistics/financials/history); all figures from the 2026-10-30 cache; vendor figures cross-checked against the Iberdrola FY2025 CNMV filing (equity/NCI/assets/group NI exact; revenue/EBITDA/EBIT definition gaps documented).

4. Sources

- Market data: cache/market/2026-10-30/ (universe.csv = IEUR MSCI Europe IMI proxy; per-candidate EDPRpool_*/ENELpool_* fetches in candidates/; fetch_manifest.json).
- Macro/FX: cache/macro/2026-10-30.json (ECB FX snapshot; Bund 10y; Spain A3 CRP 1.48% via top-up).
- Company fundamentals: Iberdrola FY2025 results (CNMV filing: revenues 45,546.8m; EBITDA 16,592.4m; EBIT 10,276.4m; net profit 6,285m; equity 63,419m; net financial debt 51,755m; EPS 0.925) and press release (adjusted EBITDA 15,684m; adjusted NI 6,749m) via relative_inputs.md.
- Vendor route: stockanalysis.com bme/IBE and per-candidate pages (dated 2026-10-30 cache).
- Published regressions: Damodaran regressions_multi_2026-01 (EUROPE), PE / PBV / EV/EBITDA equations, sha256 a894ea86...
- Working files: outputs/IBE.MC_2026-10-30/relative/ (comparables.csv, multiples_summary.csv, comparables_audit.xlsx, regression_valuation.xlsx with live formulas, qa_results.md, source_log.csv).

Academic analysis produced by an automated valuation agent. Not investment advice. All figures cited from the files listed in section 4; nothing recomputed for this report.